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- Trade receivables
- Cash and cash equivalents
- Short term loans and advances
- Other current assets

C. Revenues

- Sales
- Other income

D. Expenses

- Material consumed
- Wages
- Manufacturing expenses
- Depreciation
- Administrative expenses
- Interest
- Selling and distribution expenses, etc.

14.7.2 Codification of accounts

Code is an identification mark. Generally, computerised accounting involves codification of accounts. Codification of accounts is needed where there are numerous accounts heads in an organisation. There is a hierarchical relationship between the groups and its components. In order to maintain the hierarchical relationships between a group and its sub-groups, proper codification is required.

The coding scheme of account heads should be such that it leads to grouping of accounts at various levels so as to generate various reports. For example, the codes for various accounts may be allotted as follows:

1 Liabilities and Capital

2 Assets

3 Revenues

4 Expenses

Under Liabilities and Capital

11 Capital

12 Non-current liabilities

13 Current liabilities